THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

CAA- 290 (PB) /2017

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of

SCHEME OF AMALGAMATION

OF

LAKRA FABRICS PRIVATE LIMITED

Transferor Company

WITH

LAKRA INDUSTRIES LIMITED

Transferee Company

Judgment delivered on: 09.07.2019

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

S. K. MOHAPATRA, Hon'ble Member (T)

Present:

For the Petitioner: Mr. Arvind Nayar, Advocate
Mr. Hirak Mukopadhyay, Advocate

For the RD (NR) : Mr. C. Balooni, Advocate

For the OL: Mr. Swati Kaushal, Advocate

For the ITD: Ms. Laxmi Gurung, Sr. Standing Counsel
Ms. Esha Kadian, Advocate.

ORDER

S. K. Mohapatra, Member

1. This Joint petition has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of the transferor company with the transferee company. Copy of the said Scheme of Amalgamation (hereinafter referred as "Scheme") has been placed on record.

2. The "Transferor Company", M/s Lakra Fabrics Private Limited was incorporated on 26.12.1995 under the provisions of Companies Act, 1956, having its registered office at 1/196, 1st Floor, Subhash Nagar, New Delhi-110 064.

3. The "Transferee Company", M/s Lakra Industries Limited was incorporated on 26.12.1995 under the provisions of companies Act, 1956, having its registered office at A-42, Gate No.3 Mayapuri, Industrial Area, Phase-II, New Delhi-110064.

4. A perusal of the petition discloses that initially the First Motion joint application seeking directions for convening or dispensing with the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of both the petitioner companies was filed before this Bench vide Company Application (CAA) No. 38 /(PB) /2017 and based on such joint application moved under Sections 230 to 232 of the Companies Act, 2013, the meetings of the Shareholders, Secured Creditors and Unsecured Creditors of both the petitioners companies were dispensed with vide order dated 18.09.2017.

5. Thereafter, on 28.08.2018 the Petitioners were directed to carry out publication in the newspapers "Business Standard" (English, Delhi edition) and "Business Standard" (Hindi, Delhi edition).

6. In addition to the public notice, notices were directed to be served on the Regional Director (Northern Region), Official Liquidator, Registrar of Companies, NCT of Delhi and Haryana, the Income Tax Department and to the other relevant sectoral regulators.

7. It is seen from the records that the Petitioners have filed an affidavit dated 10.10.2018 affirming compliance of the order passed by the Tribunal dated 28.08.2018. A perusal of the

affidavit discloses that the petitioners have effected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 11.09.2018 as well as in 'Business Standard' Hindi edition on 11.09.2018 in relation to the date of hearing of the petition.

8. The Regional Director has filed its representation on 28.11.2017 in which it has been submitted that the Registrar of Companies have observed that the petitioner companies have filed their upto date statutory returns and no prosecution has been filed, nor any inspection or investigation has been conducted in respect of the petitioner companies.

9. The Official Liquidator has filed its report wherein no objection has been raised by them in relation to the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

10. The Department of Income Tax has also filed its report on 30.04.2019 in which it is submitted that the Department has no objection against the Scheme.

11. Be that as it may, it is clarified that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues, including imposition of penalties etc. from both the petitioner companies as provided in law.

12. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

13. Certificates of respective Statutory Auditors of both the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

14. The shareholders of the applicant companies are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the

Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013 will not ordinarily interfere with the corporate decisions of companies duly approved by its shareholders and creditors.

15. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited (1995) 5 SCC 491 the three Judges Bench of Hon'ble Supreme Court held that:

> *" A company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process."*

16. Right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant companies to avail the benefits extended by the statutory provisions and the Rules.

17. The petitioner companies have filed an affidavit on 26.09.2018 confirming that no objection has been received against the Scheme from any party or from any person interested in the Scheme in any manner.

18. It has also been affirmed in the petition that the Scheme is in the interest of both the transferor company and the transferee company including their shareholders, creditors, employees and all concerned.

19. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the report filed by the Regional Director, Northern Region, Ministry of Corporate Affairs, official liquidator and Income Tax Department, there appears to be no impediment in sanctioning the present Scheme.

20. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

21. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

22. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

23. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

24. **THIS TRIBUNAL DO FURTHER ORDER**

i. *That the Transferor Company shall stand dissolved without following the process of winding-up; and*

ii. *That all the property, rights and powers of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company; and*

iii. *That all the liabilities and duties of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the*

liabilities and duties of the transferee company; and

iv. *That all proceedings now pending by or against the Transferor Company, be continued by or against the transferee company; and*

v. *That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the Transferor Company on the said date.*

vi. *That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with*

him on the file kept by him in relation to the Transferee Company and the files relating to both the petitioner companies shall be consolidated accordingly; and

vii. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
09.07.201

(M.M. KUMAR)

PRESIDENT

Sd/-

(S. K. MOHAPATRA)

MEMBER (T)

Deepak Kumar